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TAM CAPITAL

FINANCE, ZAKAT & TAX POLICY

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1. INTRODUCTION

This policy has been approved by the Board of Directors ("Board") of Tam Capital ("Company"). It represents an enforceable document relating to Company policies.

This policy serves as a guideline for functions under the responsibility of the Finance Department. The primary aim of the policy is to:

- Establish and strengthen the consistency and transparency of financial management and reporting practices as well as to ensure compliance with applicable regulatory and statutory pronouncements.
- Establish the policy in respect to the management of Zakat & tax within the Company. It is imperative to ensure that consistent, effective and transparent standards are maintained across the company with respect to Zakat & tax (both direct and indirect).

The scope of the policy includes:

- Application of International Financial Reporting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards & pronouncements issued by the Saudi Organization for Certified Public Accountants ("SOCPA"), collectively hereafter referred to as "IFRS" that applies to the Company, and to act as a point of reference in relation to the accounting policies followed within the Company and to ensure consistency of statutory financial reporting by Company.
- Application of law & regulations in the Kingdom of Saudi Arabia with reference to the following Zakat, income Tax, withholding tax (WHT) and value-added tax (VAT).

2. REFERENCE TO REGULATIONS & OTHER INTERNAL DOCUMENTS

The policy may be read in conjunction with following regulations and internal documents:

- International Financial Reporting Standards
- Companies Law
- Delegation of Authority Matrix
- Finance Procedures
- Regulations issued by Zakat, Tax & Customs Authority (ZATCA)
- Other relevant regulations and policies

3. POLICY STATEMENTS – ACCOUNTING AND FINANCIAL MANAGEMENT

The Company must determine and apply financial and accounting policies to accurately conduct, record and measure all Company transactions. It shall use such policies to process all Company related transactions and as a means of justifying the recording of transactions in the Company's books of accounts. These policy shall enable the Company to present accurate, timely, useful and meaningful financial information to the senior management, the Audit Committee and the Board in the process of monitoring the performance of the Company at periodic intervals and at the end of the financial year. The Company would follow calendar

year as basis for periodic closure of books of accounts. Finally, the policies may be utilized as a reference in cases of disagreement and uncertainty in recording, processing, evaluating and measuring accounting related transactions.

The financial statements shall be prepared in accordance with the International Financial Reporting Standards (IFRS) as promulgated by the International Accounting Standards Board ("IASB"), interpretations issued by the International Financial Reporting Interpretations Committee ("IFRIC") as endorsed and notified by Saudi Organization for Certified Public Accountants (SOCPA) and the requirements of the laws and regulations in Saudi Arabia.

Company should ensure that these accounting policies, principles, concepts and assumptions are maintained and consistently applied. If these are not followed, the fact shall be disclosed in the notes to the financial statement together with reasons thereto.

3.1 General Accounting Principles

Some guiding general accounting principles include:

Accounting Convention

Company's general ledger and related modules shall be expressed in base currency (i.e. SAR) and should be prepared under the historical cost convention. This principle requires that all transactions be recorded at their 'historical' or actual cost at the time of occurrence.

Going Concern Concept

Company is viewed as a going concern, i.e., as continuing in operation in the foreseeable future. As a going concern, Company has neither the intention nor the necessity of liquidation or of materially curtailing the scale of its operations. Disclosure in the financial statements must be made for all operations in the process of liquidation or of materially curtailing the scale of its operations.

Consistency

Accounting policies should be applied consistently within each accounting period and from one accounting period to the next unless specified changes to regulations or IFRS.

Prudence

The carrying value of any item should be determined on a prudent basis. Prudence is the inclusion of a degree of caution in the exercise of the judgements needed in making the estimates required under conditions of uncertainty.

Substance over Form

This principle applies where the legal form of a transaction does not reflect its economic substance. The accounting for such a transaction should reflect the economic substance and not merely its legal form.

Accruals

Company must prepare its income statement and balance sheet using the accrual basis of accounting. Under this basis, the effects of transactions are recognized and recorded in the accounting records when they occur (and not as cash or its equivalent is received or paid).

Materiality and Optimal Disclosure

An item is considered to be material if its omission, non-disclosure or misstatement would result in distortion of the information being presented in the financial statements there by influencing the users of the financial statement.

The two aspects of optimal disclosure are:

- Optimal aggregation; and
- Optimal written descriptions and explanations.

Optimal aggregation requires that the financial statements must provide sufficient details to meet the user's need for information about various categories of accounts shown in the statement.

Optimal written descriptions and explanations must provide the users with additional descriptions and explanations to supplement the headings, captions and amounts in the financial statements.

Relevance

Relevance refers to the existence of the close relationship between:

- The financial accounting information; and
- The purposes for which this information is prepared.

To be useful, financial information should be relevant to the decisions that will be taken by the financial information users.

Reliability

Reliability is the concept that allows users to depend on the information with confidence. Users of financial statements require the information to have a high degree of reliability. Reliability also means that the information is verifiable and is an accurate representation of what it purports to represent.

Neutrality

Neutrality is the absence of bias towards predetermined results. Neutral Financial accounting information is:

- Directed toward the common needs of users; and
- Independent of assumptions about particular needs of specific users of the information.

Comparability

Comparable financial accounting information allows users to identify similarities and differences in Company performance relative to:

- Its past performance; and
- The performance of other entities in the industry.

Timeliness

Financial accounting information must be available to users when it is needed. Delay in availability results in the financial accounting information having limited impact on future actions. The lack of timeliness reduces or eliminates the usefulness and impact the information may have had.

Ease of Understanding

Ease of understanding depends on:

- The extent and nature of the data contained in the financial statements;
- The way the data is presented; and
- The ability of external users to interpret them.

Accordingly, the strengths and limitations of the users should be kept in mind when preparing financial statements and writing the notes that accompany them.

Measurement Unit Concept

The measurement of all the accounts, the results of operation and the financial position must be made using a common denominator for each.

The monetary unit, which is Saudi Riyal, is the common denominator in which the accounts are expressed in the financial statements.

Recognition Concept

Changes in Company assets and liabilities are caused by:

- Internal events; and
- External events.

The effects of internal and external events on Company assets and liabilities should be recognized and reported in the time periods to which they relate.

Measurement Basis Concept

Under the historical cost convention:

- Assets shall be recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire them at the time of their acquisition.
- Liabilities shall be recorded at:
  a) The amount of proceeds received in exchange for the obligation;
  b) Or in some circumstances (e.g. Zakat), at the amount of cash or cash equivalent expected to be paid to satisfy the liability in the normal course of business.

In certain cases, where another financial and accounting policy requires or permits, the historical cost basis is combined with other measurement basis. For example, marketable securities are carried at fair value.

Matching Concept

Matching is the process of recognizing, measuring, and relating revenues and expenses for an accounting period to determine the net income or loss for that accounting period. Net income or loss is the residual amount after expenses have been matched with revenues.

3.2 Recognition, classification and measurement criteria

The Company shall recognize, classify and measure assets, liabilities, revenue, expenses and equity accordance with the IFRS.

3.3 Capitalization Policy

Tangible and intangible assets are carried on at cost net of accumulated depreciation and/or accumulated impairment losses, if any. Cost includes expenditure that is directly attributable to the acquisition of the items. Depreciation is charged to the statement of profit or loss, using the straight-line method to allocate the costs of the related assets over the following estimated useful lives:

Number of years:

- Fixed Assets: Leasehold improvements over the lease period or 5 years, whichever is lesser
- Fixed Assets: Computers and Printers – 5 years
- Fixed Assets: Furniture and Fixture - 10 years
- Fixed Assets: Vehicles – 5 years
- Fixed Assets: Electrical and office equipment - 8 years
- Intangible Assets: Technical systems and information networks – 8 years
- Intangible Assets: Computer programs – 8 years

Maintenance and repair costs, which will maintain the normal performance of the asset and will not increase the economic benefit of the asset, will be expensed while maintenance and repair costs, which will increase the economic benefit of the asset and will benefit more than accounting period should be capitalized.

The Company has defined minimum amount for purposes of accounting for property and equipment (presented in SAR) as follows:

- Leasehold improvements 5,000
- Computers and Printers 1,000
- Furniture and Fixture 1,000
- Vehicles 10,000
- Electrical and office equipment 500
- Technical systems and information networks 10,000
- Computer programs 1,000

Expenditure below this amount on each individual asset item will not be treated as capital expenditure.

3.4 Financing facilities

The Company may obtain financing facility from Financial Institution in line with authority delegated by the Board to the management, and Finance Department shall be responsible for fulfilling the legal and administrative requirements.

3.5 Revenue

Revenue should be classified into following:

- Subscription Fee, net
- Management Fee, net
- Performance / Success Fee, net
- Arrangement & Advisory fee, net
- Other Income

All fees, commission and other income shall be recognized as revenue as the services are provided, on an accrual basis and netting off direct business related expenses (such as CMA fee, rebate, discount, staff incentive, provision for bad debts & misc. expenses).

Revenue shall only be recognized if all of the following criteria are met:

- The amount of revenue can be measured reliably; and
- It is probable that the economic benefits associated with the transaction will flow to the Company.

Finance department shall make efforts to collect the income receivable on a timely basis.

3.6 Operating expenses

Operating expenses shall be treated as period expenses and should be charged in its related period. Operating expenses that are incurred by Company during a specific accounting period to obtain benefits will be used during the same period are measured on the basis of the acquisition price(s) to obtain these benefits. These amounts should be recognized as expenses for such period upon its occurrence.

The financial statements should disclose the following regarding the operating expenses:

- Clear and brief description of the significant accounting policies for operating expenses applied by Company, including the basis for allocating the shared costs.
- Details of relatively significant operating expenses in the most appropriate method to Company activities.

Finance department shall make efforts to make payments for expenses on a timely basis as per the vendor agreement.

3.7 Net Profit

Net profit shall be the excess of revenues over outlays in a given period of time (including depreciation and other non-cash expenses). Net profit shall be calculated by subtracting the total expenses from total revenue, thus showing what the Company has earned (or lost) in a given period of time.

3.8 Dividend

The Retained earnings refer to distributable reserves accumulated from undistributed profits. Dividend shall be allocated as a fixed amount per share in cash or stock. Therefore, the shareholders of Company would be paid dividends proportionate to their shareholding. The dividend pay-out shall not be considered as an expense; rather, it is the division of net profits among the shareholders. Dividends shall be settled on a cash/stock basis.

3.9 Financial Authorities

The financial authorities to carry out transactions including signing agreements, maintaining and using bank accounts and cash in hand shall be as per Board Resolutions and Delegation of Authority Matrix approved by the Board.

3.10 Insurance

The Finance Department shall maintain insurance policies at all times to ensure the Company is safe against unforeseen or malicious incidents. Some of the mandatory policies to maintain include:

- Professional Indemnity Insurance Policy
- All Property Risk Policy
- Staff Medical Insurance Policy

3.11 Financial provision or write-off

Financial provisions/write offs (eg. provision for bad debts) shall be as per Delegation of Authority Matrix approved by the Board.

3.12 Rebates and discounts

Rebates and discounts granted by the Company shall be as per Delegation of Authority Matrix approved by the Board.

4 RESPONSIBILITIES – ACCOUNTING AND FINANCIAL MANAGEMENT

4.1 Financial Planning

The following statements represent the key responsibilities, as set by the Board, in implementing the Company's financial plan preparation, evaluation and review:

- Management must prepare detailed financial plan in consultation with the relevant departments.
- All department heads are required to provide their individual budgets to be developed in line with the Company's financial plan and strategic goals along with the assumptions on which their individual budgets were developed to the CFO.
- The Board shall be the ultimate final authority for approving the financial plan and any interim amendments thereto. The approved financial plan should be in line with the Company's set objectives and goals.
- The management shall prepare a revised financial plan in following circumstances and obtain approval from the Board:
  a) Acquisition / merger of new business or company.
  b) Major & significant change in economic / financial conditions on country or global level.

4.2 Financial Reporting

2 types of monthly reporting shall be performed. These are:

a) Monthly reporting to Board (Business & financial performance dashboard and comparison against budget)

b) The Finance department will be responsible to monitor Capital Adequacy of the Company in line with CMA requirements. As per Prudential Rules of CMA, the Company shall submit the Capital Adequacy Model as per format provided by CMA which includes capital base, minimum capital requirements, large & excess exposure and Other Information within 10 business days after the month end and annual audited within 90 calendar days after the financial year end.

c) Monthly reporting to Capital Market Authority (CMA) on prescribed template

The financial reports shall be reviewed and signed-off by the CFO and the CEO before submission.

4.3 Reconciliations

The Company shall prepare reconciliations for the Company's bank accounts, Client Money Account, and any off-balance sheet accounts on periodic basis, as may be necessary, and these reconciliations must be reviewed and signed-off by the CFO.

4.4 Financial Statement – Submission

The financial statements of the Company shall be submitted to the following on a periodic basis:

1. Shareholders of the Company;
2. Capital Market Authority (CMA); and
3. Ministry of Commerce and Investment (MOCI)

Shareholders of the Company:

The Chairman of the Board shall provide the shareholders with the Audited Financial Statements, the Board of Director's Report, Auditor's Report and Audit Committee Report before the fifteen days of Annual Ordinary General Assembly Meeting (once a year, within six months after the financial year end) as per Companies Law.

Capital Market Authority (CMA):

The Company must submit the annual audited financial statements of the Company within 90 calendar days after the financial year end to the CMA.

Ministry of Commerce and Investment (MOCI):

The Company shall send to MOCI, copies of Audited Financial Statements, the Board of Directors Report, Auditor's Report and Audit Committee Report within thirty days of Annual Ordinary General Assembly Meeting held as per Companies Law.

4.5 External Audit

External Auditors of the Company must review the semi-annual financial and audit the annual financials. Approval of appointing and fixing of remuneration of external auditors for the coming year lies with the General Assembly, which is recommended by the Board after consultation with Audit Committee of the Board.

The Management is required to get consent of Audit Committee for engaging External Auditor for any professional consultancy work.

General oversight on execution of the external audit is assigned to the Audit Committee and the CFO. Day-to-day follow up of external audit phases including year-end audit and interim reviews is assigned to the CFO who will report to the CEO and the Audit Committee on that matter. The CFO should obtain proposals and provide a recommendation to the Audit Committee on the appointment/re-appointment of the External Auditor. The Audit Committee would consider the CFO recommendation when making the endorsement decision as well as other factors and analysis regarding the External Auditors.

External Audit Firm should be a member of SOCPA. External Auditor should be licensed to work in KSA and reappointed period should not exceed five consecutive years. Once the period is exceeded, such external auditors shall be changed and may be reappointed after two years from the date of expiry thereof.

Annual Audit:

There is a statutory requirement for the annual financial statements to be audited by the External Auditors. The annual financial statements are prepared by the Finance Department as soon as possible after the end of the year. After their review by the CEO, these are submitted to the external auditors for their annual audit.

Once the audit is completed, these financial statements are submitted to the Audit Committee who review and then submit them to the Board with their recommendations. The Board then considers the recommendations of the Audit Committee and make their recommendations to the shareholders of the Company.

4.6 Record-keeping and Retention

The Company shall ensure compliance with record keeping & archiving of all records as per applicable law, rules & regulation. Records are maintained in electronic and/or physical forms.

5 POLICY STATEMENTS – ZAKAT AND TAX

The Company has established guiding principles to deal with Zakat and tax matters. Henceforth, the Company must:

- Ensure all key tax risks are identified and managed effectively.
- Ensure transactions are structured in the most tax efficient manner permitted within the approved parameters of the tax planning framework and the tax planning criteria as set out in this policy.
- Ensure all tax compliance procedures are properly controlled and managed to meet Company legal obligation to fulfil its duties under Saudi tax law.
- Ensure professional working relationships are developed with ZATCA.
- Ensure full disclosure is made to ZATCA in the event of any error(s).

The successful application of these principles shall be measured in the following ways:

- Submission of tax returns on time.
- Paying the correct amount of tax in a timely manner.
- Forecasting tax cash payments accurately.
- Ensuring relevant claims and elections are made to minimize the tax cash paid by Company.
- Implementing and maintaining policies and procedures relating to all taxes to ensure proper control and that the correct tax is to be paid, and for inspections by ZATCA and other regulators to minimize any errors or to mitigate and avoid penalties.

6 RESPONSIBILITIES – ZAKAT AND TAX

The Board of Directors is ultimately responsible for the tax policy.

The Board has delegated the responsibility for the day-to-day implementation of the Zakat and tax policy to management. Hence, management is responsible for ensuring there is an appropriate framework for implementation of the policy and oversight of the identification and management of tax risk. The following key responsibilities shall be executed by the management through the Finance department:

6.1 Tax Optimization and Tax Management

Tax Planning: Proactive and timely communication of business transactions is key to allowing effective tax treatment to be effected through liaison with external advisors. Liaison at the planning stage will ensure that tax risks and opportunities inherent in transactions are effectively managed.

Controls over Tax Management: All papers put forward to the Board that contain comments on tax must be supported by an appropriate level of tax analysis. Finance Department will be responsible for ensuring sufficient tax analysis has been undertaken in advance of the papers being submitted to the Board.

Assessment of Tax Management: Finance Department will understand the tax risks and opportunities from future transactions and current tax planning. The general principles will be adhered to all tax planning. In addition, these principles are supplemented by the following parameters defined by the Board and to be used in the assessment of tax planning.

Company will use these parameters to determine whether tax risks presented by any particular tax planning opportunity are acceptable.

- ***Commercial Purpose:*** All transactions must have a commercial purpose.
- ***Reputation Impact:*** The planning should have no, or limited, impact if details were in the public domain.
- ***Impact on Cash Flow:*** Cash flow should be positively impacted if planning is successful, with the potential upside benefit outweighing any downside cost.
- ***Impact on Financial Statements:*** Post-tax profitability should be positively impacted if planning is successful, with the potential upside benefit outweighing any downside cost.
- ***Tax Advisor's Opinion:*** Appropriate external advice will be taken whenever necessary.
- ***Referral to ZATCA:*** Where the tax application is complex, and may be subject to challenge by ZATCA, ZATCA should be consulted where appropriate.

6.2 Tax Operations & Compliance

Finance Department has day-to-day ownership of Company tax operations and oversight of tax risk.

Responsibilities include:

- Monitoring adherence to the tax policy.
- Final review of tax disclosures for Company financial statements.
- Final review of tax returns.
- Ensuring accounting systems and controls report accurate and timely information for tax reporting purposes.
- Maintaining regular dialogue with the Company tax advisers, ZATCA and Capital Market Authority (CMA), where appropriate.
- Make all tax payments, fulfil all reporting obligations, and file all tax returns, including VAT returns, on time and on the basis of clear and full disclosure.
- Contact external advisers for technical queries and have regular meetings between Company and its tax advisers to ensure Company is aware of relevant legislative changes.

6.3 Record-keeping and Retention

The Company shall ensure compliance with record keeping & archiving of all Zakat and tax records as per applicable law, rules & regulation. Records are maintained in electronic and/or physical forms.

7 AMENDMENT TO THE POLICY

This policy document will be reviewed and updated at least once every three years or as and when needed, and the owner of the policy has to be vigilant of any required amendments or updates.